

DECISION



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Proc II
THE COMPTROLLER GENERAL
OF THE UNITED STATES
WASHINGTON, D. C. 20548

FILE: B-196158

DATE: January 24, 1980

MATTER OF: Sogitec, Incorporated DLG-03689

DIGEST:

1. Rejection of proposal which does not conform to specification requirement is proper, even though offeror asserts its nonconforming proposal for data conversion represents modern, state-of-the-art approach that would be significantly less costly to Government. Any complaint concerning specifications should have been filed prior to closing date for receipt of proposals.
2. Agency determinations regarding technical merits of proposals will be questioned by GAO only upon showing of unreasonableness. Where record shows strong disagreement between agency evaluators and offeror concerning minimum effort necessary to accomplish work, value and relevance of offeror's prior experience and reliability of offeror's technical approach, but does not demonstrate that evaluators' position is unreasonable, evaluation and resultant award to higher-rated offeror will not be disturbed.
3. Agency may properly utilize its own reasonable estimates of manhours needed to perform work to measure offerors' understanding of requirements.

DLG-03698 Sogitec, Incorporated (Sogitec) protests award of a contract by the Central Intelligence Agency to Atlantic Associates, Inc. (Atlantic) under request for proposals (RFP) No. 9-79A. The solicitation requested fixed-price proposals to convert hardcopy data into machine readable magnetic tape format. Sogitec contends its technically sound proposal offering the lowest price should not have been rejected by the agency. AGC00210

[Protest Involving Fixed-Price
Contract]

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The RFP informed offerors award would be made to that responsible offeror whose offer conforming to the solicitation would be most advantageous to the Government, price and other factors considered. The right to accept other than the lowest offer was specifically reserved. The RFP stated that while cost proposals would be used to assess an offeror's understanding of the requirements and the validity of its approach, cost would be of less importance than the combined technical and management evaluation factors.

Sogitec's initial proposal provided for using optical character recognition equipment and for keying entries directly from raw data without use of a Data Conversion Form required by the specification, which mandated transcribing to the form prior to keying. Sogitec was informed its proposal was deficient because it did not stipulate a data transcription task and did not provide an estimate of manhours by labor category. The agency then amended the RFP to make clear that the requirement to transcribe the entries meant to handwrite them. In its best and final offer, Sogitec submitted an Option A which provided for such handwritten transcription and an Option B which retained the approach of direct keying without transcribing. The price for Option B was less than half of the awarded contract price.

Sogitec's Option B approach was found to be unacceptable because it did not provide for handwritten data transcription as required by the solicitation. Option A, while acceptable, received the lowest technical evaluation score among the four competing proposals. This low score reflected the evaluators' concerns that Sogitec had no prior experience in library conversion activities, that its estimate of manhours for the data preparation phase was less than half of the agency's internal estimate, and that the proposal was weak in certain areas and reflected a lack of understanding of the complexity of what was required. Atlantic, which received the second highest technical rating, was awarded the contract on the basis of its high overall numerical scores which indicated that on the basis of both technical and price considerations, that firm's proposal was most advantageous to the Government.

Sogitec's major complaint is that the agency rejected its Option B proposal without considering that it reflected a current state-of-the-art approach and that the handwritten

transcription approach was unnecessary. The determination of the minimum needs of an agency and the methods of accommodating them, however, are properly the responsibility of the agency. Maremont Corporation, 55 Comp. Gen. 1362 (1976), 76-2 CPD 181. Here the agency believes the handwritten requirement is essential to insure accuracy since the data entries come from many different libraries, each using its own format, and in various states of legibility. While Sogitec contends that it offered a more modern and improved approach obviating the handwritten transcription step, it has not shown, on this record, that the agency's insistence on the transcription is without a rational basis. In any event, the specifications required the handwritten transcription and the agency therefore was required to reject any proposal that did not conform to those specifications, regardless of the lower price that might be associated with such a proposal. Any objection Sogitec has regarding the requirement should have been filed prior to the closing date for receipt of proposals or, after the RFP was amended, prior to the next closing date for receipt of revised proposals. 4 C.F.R. 20.2(b)(1) (1979).

With respect to its Option A proposal, Sogitec defends its own manhour estimate, asserts the value of its prior experience and questions how the awardee could have a stronger technical approach than Sogitec offered.

We point out that it is not the function of our Office to evaluate the technical merits of proposals or to substitute our judgment for that of the procuring agency as to which offeror should have received the award. Therefore, technical evaluations and award determinations by procuring agencies will be questioned by our Office only upon a clear showing that they were arbitrary or unreasonable or inconsistent with the established evaluation factors. Group Operations Incorporated, 55 Comp. Gen. 1345 (1976), 76-2 CPD 79. While it is clear that there is much disagreement between Sogitec and the agency, we find no basis for concluding that the agency's determinations were unreasonable or otherwise improper.

First, with regard to the agency's internal estimate of required manhours, the agency reports that based on its own experience, it estimated 2.5 minutes for handwritten

transcription, 1.25 minutes for review and editing each entry and six productive hours in an eight hour workshift for a total of five minutes per entry for the data preparation phase, whereas Sogitec estimated it would take approximately two minutes for the same tasks. Sogitec states that its manhour estimate was based on simulating actual production, asserts that the variance in estimates "should have nothing to do with the award evaluation," and questions the relevance of the agency's concern with manhours when a fixed-price contract was to be awarded.

The propriety of an agency's use of its own independent estimates as an aid in determining the acceptability of proposals is well established. Such estimates may pertain both to cost, Raytheon Company, 54 Comp. Gen. 169 (1974), 74-2 CPD 137, and to items which contribute to costs such as required manhours. 53 Comp. Gen. 240 (1973). These estimates are entitled to great weight and an agency's reliance on them will not be disturbed so long as they are reasonable. Teledyne Lewisburg, Oklahoma Aerotronics, B-183704, October 10, 1975, 75-2 CPD 228.

Although Sogitec apparently believes it can accomplish the work with significantly less manhours than the agency thinks is necessary, it has not shown that the agency's estimate and reliance thereon is unreasonable. At best, there is a difference in judgment, and of course the agency's good faith judgment must prevail in situations such as this. Consequently, we cannot object to the agency's use of its own best estimate of manhour requirements. The fact that a fixed-price contract is involved does not negate the propriety of the agency's actions -- the agency's concern was not with what the awardee would be legally bound to do under a fixed-price contract, but with the offeror's understanding of what would be required. (The technical evaluation panel felt that "it is unrealistic to expect a high quality product" to result from the time Sogitec proposed to devote to data preparation.)

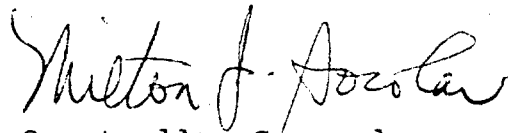
With respect to prior experience, Sogitec concedes that it had no library conversion experience, but refers to its work with aerospace technical manuals and asserts that it "stated that it has several employees with much experience

in library conversion jobs." The agency evaluators found, however, that Sogitec's aerospace engineering background was not "very applicable" to the current project and that the Sogitec proposal did not show that Sogitec's employees had a library conversion background. The record supports the evaluators' position on the latter point and the former point, of course, is a judgment matter within the discretion of the evaluators.

Finally, the evaluators believed Sogitec's approach was weak because of the low manhour estimate and because of Sogitec's plan for detecting keying errors, which the evaluators considered to be unreliable for the amount of data involved. That judgment has not been shown to be unreasonable.

In short, we find that the agency properly rejected Sogitec's nonconforming Option B and that the evaluation of Sogitec's Option A has not been shown to be unreasonable.

The protest is denied.



For The Comptroller General
of the United States

36.606

disclosed except as permitted by agency regulations.

[48 FR 42356, Sept. 19, 1983, as amended at 62 FR 44829, Aug. 22, 1997]

36.606 Negotiations.

(a) Unless otherwise specified by the selection authority, the final selection authorizes the contracting officer to begin negotiations. Negotiations shall be conducted in accordance with part 15 of this chapter, beginning with the most preferred firm in the final selection (see 15.404-4(c)(4)(i) on fee limitation).

(b) The contracting officer should ordinarily request a proposal from the firm, ensuring that the solicitation does not inadvertently preclude the firm from proposing the use of modern design methods.

(c) The contracting officer shall inform the firm that no construction contract may be awarded to the firm that designed the project, except as provided in 36.209.

(d) During negotiations, the contracting officer should seek advance agreement (see 31.109) on any charges for computer-assisted design. When the firm's proposal does not cover appropriate modern and cost-effective design methods (e.g., computer-assisted design), the contracting officer should discuss this topic with the firm.

(e) Because selection of firms is based upon qualifications, the extent of any subcontracting is an important negotiation topic. The clause prescribed at 44.204(b), Subcontractors and Outside Associates and Consultants (Architect-Engineer Services) (see 52.244-4), limits a firm's subcontracting to firms agreed upon during negotiations.

(f) If a mutually satisfactory contract cannot be negotiated, the contracting officer shall obtain a written final proposal revision from the firm, and notify the firm that negotiations have been terminated. The contracting officer shall then initiate negotiations with the next firm on the final selection list. This procedure shall be continued until a mutually satisfactory contract has been negotiated. If negotiations fail with all selected firms, the contracting officer shall refer the matter to the selection authority who, after consulting with the contracting

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officer as to why a contract cannot be negotiated, may direct the evaluation board to recommend additional firms in accordance with 36.602.

[48 FR 42356, Sept. 19, 1983, as amended at 60 FR 37777, July 21, 1995; 62 FR 51271, Sept. 30, 1997; 63 FR 34060, June 22, 1998; 67 FR 6120, Feb. 8, 2002; 67 FR 56126, Aug. 30, 2002]

36.607 Release of information on firm selection.

(a) After final selection has taken place, the contracting officer may release information identifying only the architect-engineer firm with which a contract will be negotiated for certain work. The work should be described in any release only in general terms, unless information relating to the work is classified. If negotiations are terminated without awarding a contract to the highest rated firm, the contracting officer may release that information and state that negotiations will be undertaken with another (named) architect-engineer firm. When an award has been made, the contracting officer may release award information, (see 5.401).

(b) Debriefings of successful and unsuccessful firms will be held after final selection has taken place and will be conducted, to the extent practicable, in accordance with 15.503, 15.506(b) through (f), 15.507(c). Note that 15.506(d)(2) through (d)(5) do not apply to architect-engineer contracts.

[48 FR 42356, Sept. 19, 1983, as amended at 60 FR 42657, Aug. 16, 1995; 61 FR 69291, Dec. 31, 1996; 62 FR 51271, Sept. 30, 1997]

36.608 Liability for Government costs resulting from design errors or deficiencies.

Architect-engineer contractors shall be responsible for the professional quality, technical accuracy, and coordination of all services required under their contracts. A firm may be liable for Government costs resulting from errors or deficiencies in designs furnished under its contract. Therefore, when a modification to a construction contract is required because of an error or deficiency in the services provided under an architect-engineer contract, the contracting officer (with the advice of technical personnel and legal counsel) shall consider the extent

to which the architect-engineer contractor may be reasonably liable. The contracting officer shall enforce the liability and collect the amount due, if the recoverable cost will exceed the administrative cost involved or is otherwise in the Government's interest. The contracting officer shall include in the contract file a written statement of the reasons for the decision to recover or not to recover the costs from the firm.

36.609 Contract clauses.

36.609-1 Design within funding limitations.

(a) The Government may require the architect-engineer contractor to design the project so that construction costs will not exceed a contractually specified dollar limit (funding limitation). If the price of construction proposed in response to a Government solicitation exceeds the construction funding limitation in the architect-engineer contract, the firm shall be solely responsible for redesigning the project within the funding limitation. These additional services shall be performed at no increase in the price of this contract. However, if the cost of proposed construction is affected by events beyond the firm's reasonable control (e.g., if there is an increase in material costs which could not have been anticipated, or an undue delay by the Government in issuing a construction solicitation), the firm shall not be obligated to redesign at no cost to the Government. If a firm's design fails to meet the contractual limitation on construction cost and the Government determines that the firm should not redesign the project, a written statement of the reasons for that determination shall be placed in the contract file.

(b) The amount of the construction funding limitation (to be inserted in paragraph (c) of the clause at 52.236-22) is to be established during negotiations between the contractor and the Government. This estimated construction contract price shall take into account any statutory or other limitations and exclude any allowances for Government supervision and overhead and any amounts set aside by the Government for contingencies. In negotiating the amount, the contracting officer should

make available to the contractor the information upon which the Government has based its initial construction estimate and any subsequently acquired information that may affect the construction costs.

(c) The contracting officer shall insert the clause at 52.236-22, Design Within Funding Limitations, in fixed-price architect-engineer contracts except when (1) the head of the contracting activity or a designee determines in writing that cost limitations are secondary to performance considerations and additional project funding can be expected, if necessary, (2) the design is for a standard structure and is not intended for a specific location, or (3) there is little or no design effort involved.

[48 FR 42356, Sept. 19, 1983, as amended at 50 FR 26903, June 28, 1985]

36.609-2 Redesign responsibility for design errors or deficiencies.

(a) Under architect-engineer contracts, contractors shall be required to make necessary corrections at no cost to the Government when the designs, drawings, specifications, or other items or services furnished contain any errors, deficiencies, or inadequacies. If, in a given situation, the Government does not require a firm to correct such errors, the contracting officer shall include a written statement of the reasons for that decision in the contract file.

(b) The contracting officer shall insert the clause at 52.236-23, Responsibility of the Architect-Engineer Contractor, in fixed-price architect-engineer contracts.

[48 FR 42356, Sept. 19, 1983, as amended at 50 FR 26903, June 28, 1985]

36.609-3 Work oversight in architect-engineer contracts.

The contracting officer shall insert the clause at 52.236-24, Work Oversight in Architect-Engineer Contracts, in all architect-engineer contracts.

[50 FR 26903, June 28, 1985, as amended at 64 FR 51845, Sept. 24, 1999]

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Waste Site Reclassification Form

Date Submitted: 5/12/2000	Operable Unit(s): 200-TW-2	Control Number: 2000-049
Originator: Charlie Shipler	Waste Site ID: 200-W-48	
Phone: 372-2644	Type of Reclassification Action:	
	Rejected ☒ Closed-Out ☐ No Action ☐	

This form documents agreement among the parties listed below authorizing classification of the subject unit as rejected, closed-out, or no action and authorizing backfill of the site, if appropriate. Final removal from the NPL of no action or closed-out sites will occur at a future date.

Description of current waste site condition:

The site was a self-contained conex box with a spill berm, reported to be approximately 25 meters (75 feet) west of the 241-TX Tank Farm. The box has been removed.

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EDMC

Basis for reclassification:

WAC 173-303-630(10) requires that at closure, all dangerous waste and dangerous waste residues be removed from the containment system. However, there are no documentation requirements for this closure, and thus no referenceable records for older pads. For many of these older pads, the exact locations were not recorded and cannot be reliably re-examined at this time. By analysis of the spill response standard operating procedure and interviews with the spill response coordinator, documentation of closure of these 90 Day Storage Areas can be recreated.

According to J. Culmer (July 31, 2000), spill response and reporting coordinator, there have been no releases to the environment from 90-Day pads. The HNF-PRO-453 Spill and Release Reporting procedure covers cleaning up releases and entering release sites, where releases cannot be immediately cleaned up due to the location of the release or the decision made to clean up the site at a later date, as part of the Operable Unit. If the release is to be cleaned up as part of the Operable Unit, then it is required that the release site and material released be added to an existing Operable Unit WIDS site or a new WIDS site created and entered into the data base. Mr. Culmer is not aware of any spills or releases onto 90 Day Storage Pads, that have not been cleaned up immediately, waste managed properly and then disposed of per state and federal requirements. All releases have been handled per the HNF-PRO-453 Spill and Release Reporting procedure. The releases onto 90 Day Storage Pads that had been reported internally to the spill response office were small leaks from containers that had been cleaned up; none of these releases migrated out of the connex box (90 Day Pad) and into the soil column or environment. Thus, all evidence

<u>HAROLD J. STAFFORD JR.</u>	<u>Harold J. Stafford Jr.</u>	<u>8/21/00</u>
DOE Project Manager	Signature	Date
<u>Wayne Soper</u>	<u>Wayne Soper</u>	<u>9-6-00</u>
Ecology Project Manager	Signature	Date
_____ EPA Project Manager	Signature	Date

November 30, 2007 - Congressman Murtha Announces December Outreach

(Washington D.C.)- Congressman John P. Murtha today announced his outreach schedule for December in Armstrong, Fayette, Greene, Indiana, Washington and Westmoreland counties:

Armstrong County:

Kittanning
- 450
East Market Street,
Courthouse Annex, 9:00 a.m. to 12:00 p.m., Thursdays December 6,

December
13 and December 20

Fayette County:

Belle Vernon - Borough
Building,
10
Main St, 9:00 to 12:00
p.m. December 12

Brownsville - Borough
Building,
Second & High St.,
9:00 to 12:00 p.m. December 5 and December 19

Connellsville

- City Hall, 110
N. Arch St., 1:00 to
4:00 p.m. December 12

Salt Lick
Township
Building, 147 Municipal Rd,
Melcroft, 9:00 to 12:00 p.m. December 12

Uniontown
- 20 N. Gallatin Ave.,
9:00 to 4:00 p.m. December 3, December 7, December 10, December 14,

December
17, December 20 and December 21

Greene County:

Carmichaels
- Carmichaels
Borough
Building,
100
West George Street
(*New Address*), from 9:30 to 3:00 p.m. December 13

Waynesburg
- Greene County Office Building, 93 E. High St., Room 303, from 9:30 to 3:00
p.m., Tuesdays

December
4, December 11 and December 18

Indiana County:

Indiana -
827
Water Street, 1:00 to
4:00 p.m., Thursdays December 6, December 13 and December 20

Washington County:

Donora -
Public Library, 510
Meldon Ave., 1:00 to
4:00 p.m. December 12

Centerville
- Borough Building,
100 East End Rd.,
1:00 to 3:00 p.m. December 5 and December 19

Washington - 56 W. Maiden St.
(across the street from City Hall), 9:00 to 4:00 p.m., December 5 and December
19

Westmoreland County:

Latrobe -
Borough
Building,
901
Jefferson St., 8:00 to
12:00 p.m. Mondays December 3, December 10 and December
17

Lower
Burrell - City
Hall
Building,
2800
Bethel Street, 9:00 to
4:00 p.m., Tuesdays December 4, December 11 and December 18

Constituents can consult with a
staff member about any problem with a federal agency or program. For
immediate assistance, please call Congressman Murtha's toll-free number,
1-800-289-2642.

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